

3. Impact on Business Operations

This section investigates the impact of public health measures on business operations. MSMEs were asked about their expectations for recovery and the main effects of COVID-19 on their businesses.

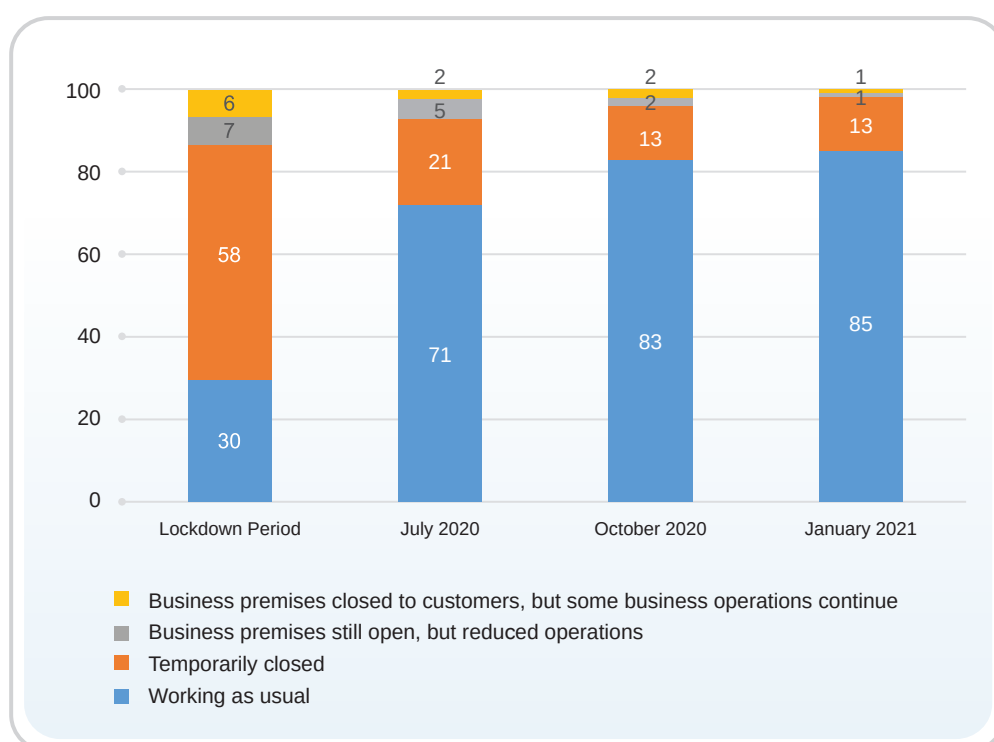
3.1. Status of Business Operations

As shown in Figure 3.1.1, the number of MSMEs “working as usual” gradually increased over the

course of the research period. The impacts of the lockdown from March 30 to May 4, 2020, were starkly felt, with only 30% of the MSMEs “working as usual,” while over half (58%) were temporarily completely closed.

In the agriculture sector, a large majority of MSMEs (93% in July 2020, 98% in October 2020, and 99% in January 2021) were operating normally, though

Figure 3.1.1: Status of operations during each survey phase (%)



during the first lockdown period, just over three quarters (77%) were working as usual. In contrast, 63% of firms from the tourism sector and 62% from the handicraft/textile sector were working as usual as of July 2020, rising to 80% of tourism and 82% of handicraft/textile firms as of January 2021. During the lockdown period, tourism and handicraft/textile MSMEs were the hardest hit with just 12% and 15% respectively working as usual. As shown in Table 3.1.1., a majority of tourism and handicraft/textile MSMEs were temporarily closed during the

lockdown period. In the handicraft/textile sector, 30% of MSMEs were temporarily closed as of July 2020, reducing to 12% in January 2021. Similarly, in tourism, 27% of businesses were temporarily closed as of July 2020 and that reduced to 18% in January 2021. Figure 3.1.1 and Table 3.1.1 do not reflect those MSMEs who were permanently closed; this was four in July 2020, 22 in October 2020, and 24 in January 2021. Of these 50 businesses who permanently closed during the research period, 30 were in the tourism sector, 18 in handicraft/textile, and two in agriculture.